

RAPID EXI

By entering new territories, PepsiCo India bottling partner Varun Beverages has unleashed strong gr

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IN 1996, WHEN Varun Beverages Ltd (VBL) started its operations in Rajasthan’s capital Jaipur, it was a small city that aspired to become a metropolis. Like the city, Ravi Jaipuria—the Founder and Chairman of VBL—had bet on the country’s newly liberalised economy, which promised a glorious future. Two and a half decades later, Jaipuria’s VBL has not only established itself as one of the leading bottlers in the country, its future today looks more promising than ever before. Its home, Jaipur, too, has transformed itself and has more than doubled its population.

Over the years, VBL has steadily grown to become a top bottler of fizzy and non-aerated drinks, and it has raced past its rivals in the fast moving consumer goods space. In FY23, VBL’s total income surged 49 per cent year-on-year to ₹13,212 crore—up from ₹8,891 crore in FY22—while its profit

after tax (PAT) jumped 108 per cent YoY to ₹1,550 crore in FY23, from ₹746 crore in the previous financial year. As a result, in the one-year period between October 2022 and September 2023, VBL’s average market capitalisation jumped a whopping 97.8 per cent over the previous year to ₹93,515 crore. And VBL, which was at No. 103 on the BT500 list in 2022, shot up to No. 57 in the 2023 edition.

Today, Jaipuria’s crown jewel is not just one of the top bottlers in the country, it is also the only Indian company to feature among the largest bottlers in the world for the American cola giant PepsiCo, and not without reason. VBL has

been growing steadily for years, keeping pace with Indians’ thirst for branded colas, juices and packaged drinking water. But the company has received a major boost in recent quarters thanks to the re-franchising exercise undertaken by PepsiCo India in 2019. According to Jaipuria, the last round of re-franchising resulted in a major increase in the territory that VBL serves in India. From serving nearly 50 per cent of the India market on behalf of PepsiCo with its Pepsi, Mountain Dew, 7 Up, Sting and Mirinda in 2019, VBL’s coverage increased almost overnight to over 92 per cent of the country. It also sells products of group company CreamBell and

SOFT POWER

Company Name	Varun Beverages*
2023/2022 Rank	57/103
Average market cap*	₹93,515.1 crore (97.8)
Total income	₹13,212 crore (48.6)
PAT	₹1,550 crore (107.8)
ROE	33.8%
TTM P/E Multiple	67.85

NOTE DATA AS OF NOVEMBER 17, 2023; *FROM OCTOBER 2022 TO SEPTEMBER 2023; TOTAL INCOME, PAT AND ROE FOR FY23; P/E: PRICE TO EARNINGS; FIGURES IN BRACKETS INDICATE CHANGE IN PER CENT YOY; RESULTS ARE ON A CONSOLIDATED BASIS; TTM: TRAILING 12 MONTHS
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